$70 billion this fiscal year, down from $88 billion last fiscal year, but recent data suggests it could be lower still.

This leads me to another point. Because analysts keep looking for major structural reforms to fix the deeper economic challenges, they ignore smaller steps or dismiss them as 'band aids'. But strategically placed small steps – strategic incrementalism for want of a better term – taken together can deal with the immediate problems, thus buying time and economic and political space for the major structural reforms.

Put differently, when the Indian authorities said they would bring the fiscal deficit below 5.3 per cent last year, no one believed them. The final outturn was 4.9 per cent. Similarly, while we project the CAD to come down to 3.7 per cent this year, I think we could be pleasantly surprised. Not all the actions we have taken are pretty, and not all are sustainable, but they have done the job.

Indeed, despite its shortcomings, India's GDP will probably grow by 5-5.5 per cent this year – not great, but certainly not bad for what is likely to be a low point in economic performance. The monsoon has been good and will spur consumption, especially in rural areas, which are already growing strongly, owing to improvements in road transport and communications connectivity.

The banking sector has undoubtedly experienced an increase in bad loans, often owing to investment projects that are not unviable but only delayed. As these projects come onstream, they will generate the revenue needed to repay loans. India's banks have the capital to absorb losses in the meantime.

Likewise, India's finances are stronger than in the typical emerging-market country, let alone an emerging-market country in crisis. India's overall public debt/GDP ratio has been on a declining trend, from 73.2 per cent in 2006-07 to 66 per cent in 2012-13 (and the central